

Incentivising electronic manufacturing could help deepen an ecosystem

In an attempt to **incentivise large-scale** private sector investments in the country, the Union **government**, in 2020, **launched** the production linked incentive (PLI) scheme. While the PLI scheme was launched for a number of sectors, **one segment** where significant **traction** has been visible **is** mobile phones. As per reports, India's mobile phone exports exceeded Rs 25,000 crore in January, and are expected to cross Rs 1.8 lakh crore by the end of this **fiscal year**, an increase of 40 per cent from last year. A large part of this has been **driven** by Apple, which through its contract manufacturers has built up a sizable base. In January, Apple reportedly **accounted for** 70 per cent of all mobile phone shipments. In fact, its three contract **manufacturers** — Foxconn, Tata Electronics and Pegatron — **accounted for** 75 per cent of all **disbursements** released by the government under the PLI scheme between 2022-23 to 2024-25. However, despite the success, some questions have been raised over the extent of value addition in the country. Inter-ministerial discussions in the government are also reported to have noted that value addition across sectors was low, even in segments where the PLI scheme was **far**ing well.

In a bid to increase the domestic value addition — from 15-20 per cent in some sectors to around 30-40 per cent — the government is reported to have finalised the **contours** of a broader policy for electronic components' manufacturing. The **components** which are the target of the scheme **include** display modules, sub assembly camera modules, printed circuit boards, among others. The overall **outlay** for the scheme, which is expected to **span** six years, **has** been **pegged at** around Rs 23,000 crore. The **incentives**, which will be paid annually, **will** be conditional on firms meeting investment, production and employment goals. The scheme could help **facilitate** the creation of a larger domestic electronics ecosystem, thereby helping deepen and broaden the manufacturing ecosystem in the country. An internal **assessment carried out** by the government **had** earlier estimated a "huge" demand-supply gap in the sector. Thus **attempts** to incentivise greater private investments, boost domestic value addition, **are indeed** welcome. There are also employment benefits to consider. The scheme aims to generate 91,600 jobs directly.

In the current global environment of **heightened geopolitical** risks, where countries are locked in tariff and trade wars, and supply chains are being **re**jigged, India has a unique opportunity. It must **seize the moment**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Deepen** (verb) – Strengthen, Enhance, Expand, Intensify, Enrich गहरा करना
2. **Ecosystem** (noun) – Environment, Network, System, Framework, Structure पारिस्थितिकी तंत्र
3. **Incentivise** (verb) – Encourage, Motivate, Stimulate, Promote, Spur प्रोत्साहित करना
4. **Large-scale** (adjective) – Extensive, Widespread, Massive, Broad, Comprehensive बड़े पैमाने पर
5. **Traction** (noun) – Progress, Momentum, Grip, Advancement, Success प्रगति
6. **Fiscal year** (noun) – Financial year, Accounting year, Budget year, Tax year, Reporting year वित्तीय वर्ष
7. **Drive** (verb) – Propel, Push, Motivate, Spur, Encourage प्रेरित करना
8. **Account for** (phrasal verb) – Represent, Comprise, Constitute, Explain, बनाना
9. **Disbursement** (noun) – Payment, Distribution, Allocation, Release, Expenditure वितरण
10. **Fare** (verb) – Perform, Progress, Manage, Succeed, Do प्रदर्शन करना
11. **In a bid to** (phrase) – In an attempt to, In an effort to, Aiming to, Trying to, Seeking to के प्रयास में
12. **Contour** (noun) – Outline, Framework, Structure, Shape, Plan रूपरेखा
13. **Outlay** (noun) – Expenditure, Investment, Spending, Cost, Budget खर्च
14. **Span** (verb) – Cover, Extend, Stretch, Encompass, Last फैलाना
15. **Peg** (at) (verb) – Fix, Set, Anchor, Stabilize, Lock स्थिर करना
16. **Facilitate** (verb) – Enable, Assist, Ease, Promote, Support सुविधा प्रदान करना
17. **Assessment** (noun) – Evaluation, Analysis, Appraisal, Review, Judgment मूल्यांकन
18. **Carry out** (phrasal verb) – Execute, Implement, Perform, Conduct, Accomplish पूरा करना
19. **Indeed** (adverb) – Truly, Really, Certainly, Absolutely, Undoubtedly वास्तव में
20. **Heightened** (adjective) – Increased, Intensified, Elevated, Enhanced, Amplified बढ़ा हुआ
21. **Geopolitical** (adjective) – Political, Strategic, Global, International, Territorial भू-राजनीतिक
22. **Rejig** (verb) – Reorganize, Restructure, Revamp, Rearrange, Adjust पुनर्व्यवस्थित करना

23. **Seize the moment** (phrase) – Act now,
Take advantage, Grab the opportunity,

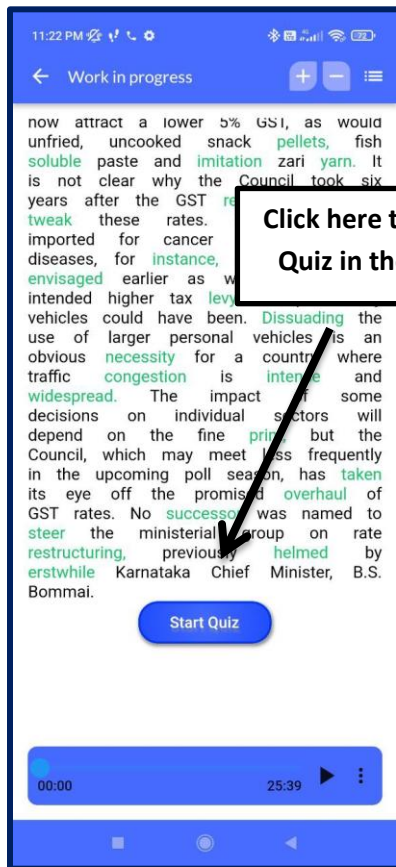
Make the most of, Capitalize मौके का
फायदा उठाना

@mocks_wallah

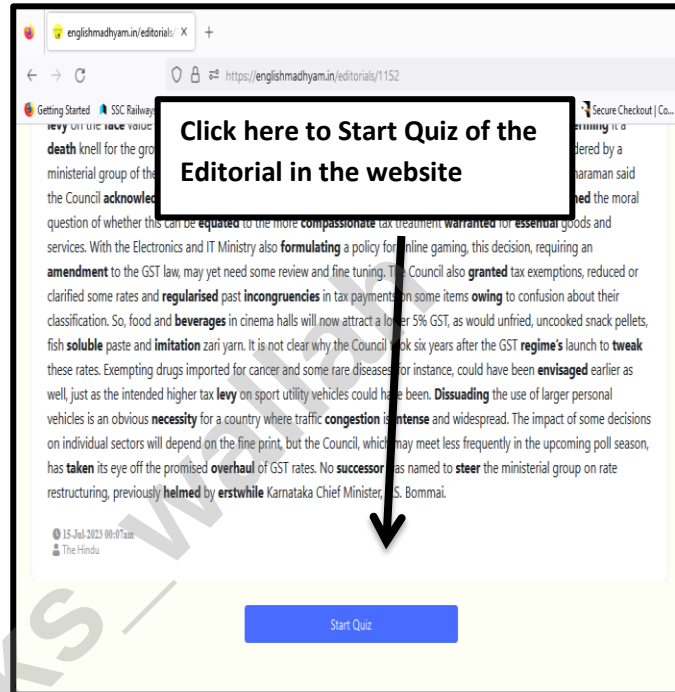
Summary of the Editorial

1. **PLI Scheme Launch:** The Union government introduced the Production Linked Incentive (PLI) scheme in 2020 to boost large-scale private sector investments.
2. **Mobile Phone Sector Success:** The mobile phone sector has shown significant growth under the PLI scheme, with exports exceeding Rs 25,000 crore in January and expected to reach Rs 1.8 lakh crore by the fiscal year-end.
3. **Apple's Dominance:** Apple, through its contract manufacturers (Foxconn, Tata Electronics, and Pegatron), accounted for 70% of mobile phone shipments and 75% of PLI disbursements.
4. **Value Addition Concerns:** Despite success, questions remain about the low domestic value addition, which is currently around 15-20% in some sectors.
5. **Government's Focus:** The government aims to increase domestic value addition to 30-40% through a new policy targeting electronic components manufacturing.
6. **Targeted Components:** The policy focuses on manufacturing display modules, sub-assembly camera modules, printed circuit boards, and other critical components.
7. **Scheme Outlay:** The proposed scheme has an outlay of Rs 23,000 crore over six years, with annual incentives tied to firms meeting investment, production, and employment targets.
8. **Ecosystem Development:** The policy aims to create a robust domestic electronics ecosystem, enhancing India's manufacturing capabilities.
9. **Demand-Supply Gap:** Government assessments highlight a significant demand-supply gap in the electronics sector, necessitating greater private investment.
10. **Employment Generation:** The scheme is expected to create 91,600 direct jobs, contributing to economic growth.
11. **Global Opportunity:** Amid global geopolitical risks, tariff wars, and supply chain reconfigurations, India has a unique chance to strengthen its position in electronics manufacturing.
12. **Strategic Importance:** Incentivizing domestic value addition and private investments is crucial for reducing import dependency and building self-reliance.
13. **Long-Term Vision:** The policy aligns with India's goal of becoming a global hub for electronics manufacturing and exports.
14. **Challenges Ahead:** Ensuring compliance with investment and production targets will be critical for the scheme's success.
15. **Call to Action:** India must capitalize on this opportunity to deepen its manufacturing ecosystem and enhance its global competitiveness in electronics.

Practice Exercise: Banking Pattern Based



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